Block 2
Development Strategies

BLOCK 2 DEVELOPMENT STRATEGIES

The state and market as institutions play significant role in the process of economic development. However, the role of these two institutions in India as an instrument of economic development has changed over time.

During the first four decades of development planning, India relied heavily on the public sector which was favoured as the engine of development. During this period, the state played mainly the regulatory, entrepreneurial and planning role. However, after 1991 the inward-looking development strategy was replaced by outward-oriented strategy popularly known as liberalisation, privatisation and globalisation (LPG) strategy, wherein private sector is considered as an engine of growth. Under this strategy, free functioning market acts as the guiding force in the major policy decisions and state works more as facilitator and promoter of economic activities and less as regulator. This block deals with re-defining the role of state and market and changing development strategies adopted over a period of time. The Block comprises **three units**.

Unit 6: **State and Market: Indian Context** throws light on the various forms of state intervention in economic activities, state's intervention for achieving the goal of efficiency and promoting equity and state's intervention in market as envisaged in Indian Constitution.

Unit 7: **Economic Reforms in India** covers the rationale behind economic reforms, the constituents of economic reforms and impact of economic reforms on Indian economy.

Unit 8: **Major Developments in Post Economic Reforms Period** identifies the key challenges on the road to India's development, analyse the hurdles in the process of restructuring public sector undertakings, highlights the pros and cons of public and private partnership, and underlines the need for insolvency and bankruptcy code (IBC) and the problems associated with it.

UNIT 6 STATE AND MARKET: INDIAN CONTEXT

Structure

6.0 OBJECTIVES

After reading this unit, you will be able to:

- differentiate between State and Government;
- describe different meanings of Market;